Validation and AI use

Executed evidence and outstanding human gate

Independent snapshot 890b9738c802592abb4e70beb8efc21181fdfcea was frozen Oct 6, 2026 22:53:27 UTC; its manifest is preserved. FIN439-Labs commit 2e861768 was read only after that freeze. Course snapshot 69eac1e8. Later revisions were merged to main; they are not part of the independent freeze. User-supplied official Edition A PDF is preserved unchanged at submission/Edition A.pdf (five pages; SHA-256 24087f84b272baba2eb9c6a3cb83f495c47e5e48f5270e833dd3fe3a2f4ba2b1). Edition A states a September 1, 2026 valuation date and cites the June 30, 2026 10-Q (published Aug 4, before September 1); the current model uses an Oct 5 cutoff.

Executed checks and limits

Requirement	Evidence and disposition
Published known answer	PASS: all 12 official Lab 05 DCF outputs within 0.0001, computed by the same engine.
Source integrity	38 saved-filing cell checks pass; balance and cash totals reconcile for 2025 and H1 2026; restricted cash reconciled through the note.
Articulation and DCF	35 software tests pass: balance/cash ties, income-statement identities, stub cash counted once, award runoff capped, fade engine timing and zero-fade equivalence, WACC > g, contamination rejection, peer P/E 'not meaningful' rule, locked-runner commit isolation.
Cold run	Fresh-environment runs recorded Oct 6 (Windows) and Oct 20 (Linux): validation/cold-run-2026-10-20.json.
Economic challenges	Cases, WACC-growth grid, 0/5/10-year fade, readable reverse DCF, NOL sensitivity, named stresses, one-at-a-time and proportional tests.

Source and date policy

October 5 market data; October 6 prices excluded. June 30 balances rolled to October 5 only by modeled retained cash. Pierce verified the Oct 5 10-year Treasury yield and the Damodaran ERP outside the revision session; the saved Treasury source row and exact ERP method evidence are limited. Beta has no saved source and the peer set is narrow. Nothing was entered from memory.

Named material AI uses and dispositions

Oct 6, 2026: Codex (ChatGPT; model family exposed as GPT-6, exact build not exposed) wrote and ran the independent build. Oct 20, 2026: Claude Code (Anthropic) made the post-comparison revisions after a joint Claude/ChatGPT audit; Pierce is not a coder and did not write code.

Corrected (Claude Code, with evidence): cutoff cash gap (stub FCFF reconciliation); award runoff ended RSU expense early and used a rounded option period (10-Q XBRL 4y10m21d); duplicate fade math with a hardcoded margin; locked runner could commit unrelated staged files. Qualified: 47% margin confirmed GAAP from the 10-Q income statement; 1.4% tax rate is structural (valuation allowance), not one-time. Earlier: adjusted margins rejected as economic profit; negative cash-flow clipping rejected.

Locked Changed-Input Record (Gate D) - separate human run pending

Field	Current record
Designated new input	Base-case 2029 government revenue growth: 22% to 12% of prior-year government revenue; all other assumptions fixed.
Human prediction / reasoning	Pending Pierce's separate AI-off pre-run prediction. Do not substitute the earlier jointly discussed capex result.
Timestamp / precommit	Pending. The new runner commits only Pierce's prediction before calculating either case.
Actual result / decision effect	Pending the AI-closed human run and Pierce's comparison. No result is claimed in this revision.
Earlier AI sensitivity	Oct 19 capex 1.2% to 2.0% was AI-authored and AI-run; it remains a separate, disclosed sensitivity, not this human record.

Authentic contributions and submission gaps

Ethan Heeres is credited only for the supplied Lab 11 exchanges. Pierce adopted do not initiate at $189.40 on Oct 20; this does not approve every assumption. Brightspace received three videos and Edition A/B at 12:00 AM Oct 20 for an Oct 19 11:59 PM deadline. The old videos exceeded their respective 3/5/5 minute limits and had no submitted transcripts. Replacement recordings and corrected transcripts must be based on actual new audio. The separate human locked run and final partner review remain open; grader repository access is unverified.

Text copy: docs/validation-and-ai-use.md; docs/claude-code-revision-summary.md, validation/ logs and manifests.